SavePredictedExams — SME

Economics

Higher level / Standard level
Paper 1

SME Mark Scheme — Paper 1 Moderate

Use the question-specific mark scheme together with the mark bands. Award up to the maximum marks as indicated.

1. (a) Using a demand and supply diagram, explain how the imposition of an indirect tax on cigarettes affects the equilibrium price and quantity in the market. **[10]**

Answers **may** include:

- **Terminology:** Indirect tax (specific or ad valorem), demand, supply, equilibrium, consumer/producer surplus, price elasticity of demand, demerit good.
- **Diagram:** A demand and supply diagram showing the supply curve shifting upwards to the left by the amount of the tax, with the new equilibrium showing a higher price and a lower quantity. Tax revenue and dead-weight loss should be clearly labelled.
- **Theory:** Candidates should explain that the indirect tax raises the firm's costs of production so supply falls. Because cigarettes are price inelastic, the burden of the tax falls mostly on consumers (rise in price > fall in quantity). The government generates tax revenue and there is a welfare loss.

Assessment Criteria — Part (a) 10 marks

Marks	Level descriptor
0	*The work does not reach a standard described by the descriptors below.*
1–2	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant.
3–4	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included.
5–6	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included.
7–8	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used mostly appropriately. Where appropriate, relevant diagram(s) are included and explained.

9–10	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained.

1. (b) Using real-world examples, discuss the view that indirect taxes are the most effective way for governments to reduce the consumption of demerit goods. **[15]**

Answers **may** include:

- **Terminology:** Demerit good, indirect tax, negative consumption externality, welfare loss, price elasticity of demand, regulation, subsidies, information provision.
- **Diagram:** A negative externality of consumption diagram (MSB < MPB) with the effect of an indirect tax shifting MPC upwards to internalise the externality.
- **Theory:** Candidates should explain how indirect taxes work on demerit goods (e.g. alcohol, tobacco, sugary drinks), raising prices and reducing consumption toward the socially optimum quantity, while raising revenue.
- **Synthesis (evaluate):** Because demerit goods often have price inelastic demand, large tax increases are needed for small changes in consumption. Taxes are regressive and may encourage black markets. Alternative policies (regulation, advertising bans, nudges, education, minimum unit pricing) may be more effective or complementary.
- **Example(s):** UK tobacco duties, Mexico's sugar tax, France's soda tax, Australia's plain-packaging rules alongside excise.

Assessment Criteria — Part (b) 15 marks

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4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. A relevant real-world example(s) is identified.
7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. A relevant real-world example(s) is identified and partly developed in the context of the question.

10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used mostly appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. A relevant real-world example(s) is identified and developed in the context of the question.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. A relevant real-world example(s) is identified and fully developed to support the argument.

2. (a) Explain, using a diagram, how an increase in aggregate demand can lead to economic growth in an economy operating with spare capacity. **[10]**

Answers **may** include:

- **Terminology:** Aggregate demand (AD), aggregate supply (AS), spare capacity, deflationary/recessionary gap, real GDP, Keynesian AS.
- **Diagrams:** A Keynesian AD/AS diagram showing the AD curve shifting to the right along the horizontal portion of the Keynesian AS, increasing real GDP with no rise in the price level; or a standard AD/AS diagram with AD shifting right below the full-employment level.
- **Theory:** An explanation that when an economy operates below full employment, rises in C, I, G or (X – M) increase real output without inflationary pressure. Multiplier effects may amplify the initial change.

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2. (b) Using real-world examples, evaluate the effectiveness of expansionary monetary policy in stimulating an economy during a recession. **[15]**

Answers **may** include:

- **Terminology:** Monetary policy, central bank, interest rates, quantitative easing, transmission mechanism, zero lower bound, liquidity trap.
- **Diagram:** AD/AS diagram showing AD shifting to the right as interest rates fall.
- **Theory:** Lower interest rates encourage borrowing and reduce saving, boosting C and I; weaker currency boosts X – M; QE increases money supply and asset prices.
- **Synthesis (evaluate):** Effectiveness is limited by the zero lower bound, low business confidence, banks unwilling to lend, credit-rationed households, time lags, and side effects on inequality and asset bubbles. Fiscal policy may be more effective in deep recessions.
- **Example(s):** US Fed response 2008 and 2020, ECB QE programmes, Bank of Japan’s long-running zero-rate policy.

Assessment Criteria — Part (b) 15 marks

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3. (a) Explain two consequences of high unemployment for an economy. **[10]**

Answers **may** include:

- **Terminology:** Unemployment rate, cyclical, structural, frictional, seasonal, hysteresis, human capital, government budget.
- **Diagrams:** A PPC diagram showing production inside the curve, and/or an AD/AS diagram showing a deflationary gap.
- **Theory:** Two consequences from lost output, lost tax revenue and higher benefit spending, loss of skills (hysteresis), social costs (crime, ill-health), inequality, reduced consumer confidence.

Assessment Criteria — Part (a) 10 marks

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3. (b) Using real-world examples, discuss the view that supply-side policies are the best way to reduce long-term unemployment. **[15]**

Answers **may** include:

- **Terminology:** Market-based and interventionist supply-side policies, structural unemployment, labour market flexibility, retraining, education, deregulation.
- **Diagram:** AD/AS diagram with LRAS shifting right; or labour market diagram.
- **Theory:** Supply-side policies (training, labour-market deregulation, investment in education and infrastructure) tackle the structural causes of long-term unemployment.
- **Synthesis (evaluate):** Policies have long time lags, high opportunity costs, and some create inequality. Demand-side policies may be needed to provide jobs once workers are retrained. Best results usually come from a balanced mix.
- **Example(s):** Germany’s Hartz reforms, Nordic flexicurity, UK apprenticeship levy, Singapore’s SkillsFuture programme.

Assessment Criteria — Part (b) 15 marks

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